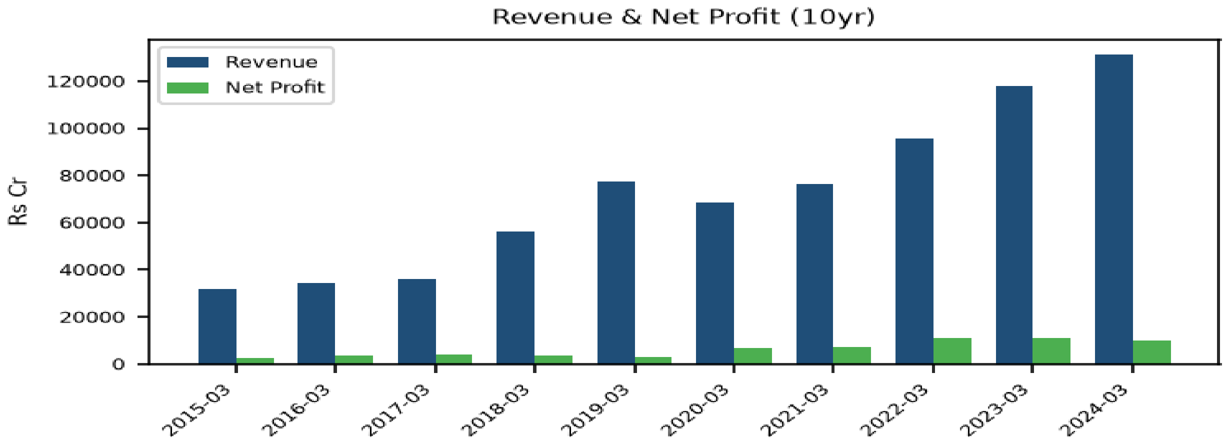
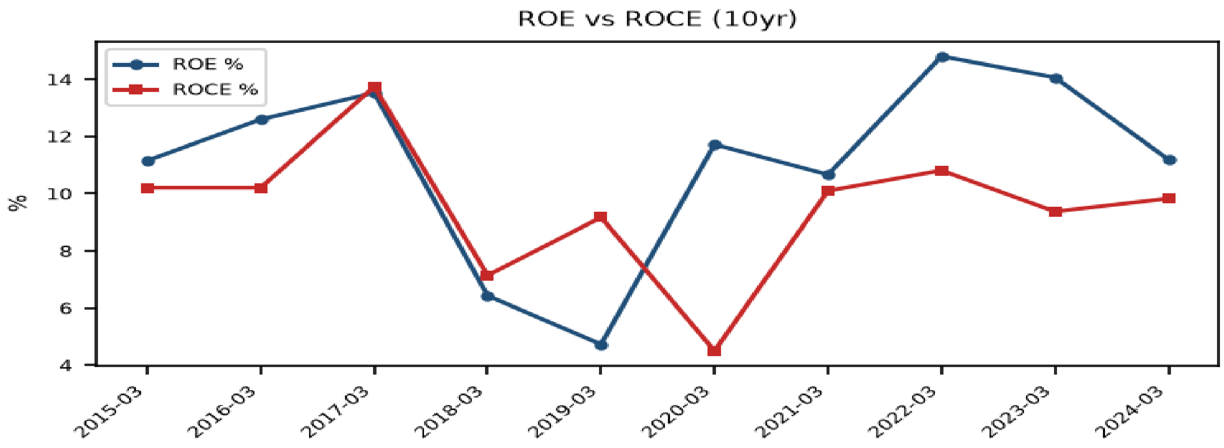
Grasim Industries Ltd (GRASIM)

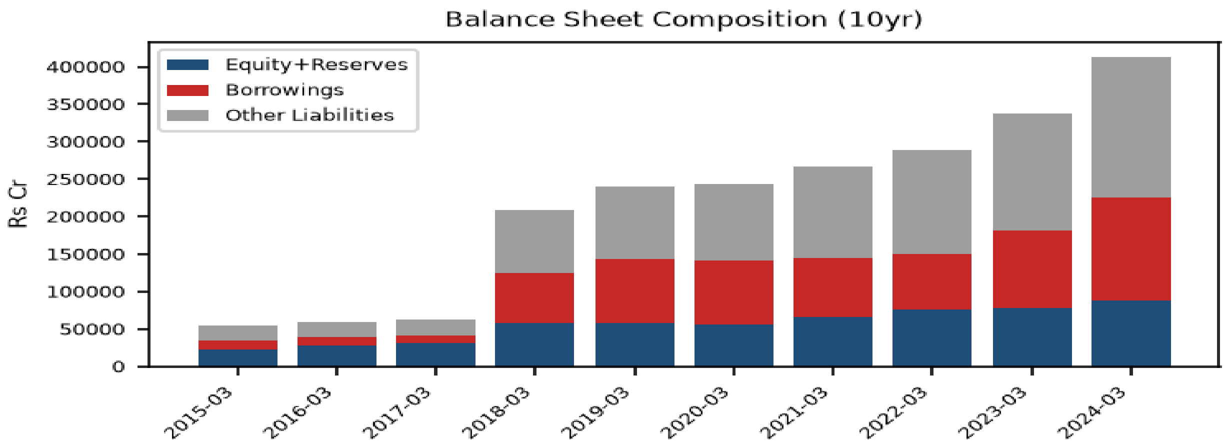
Sector: Industrials

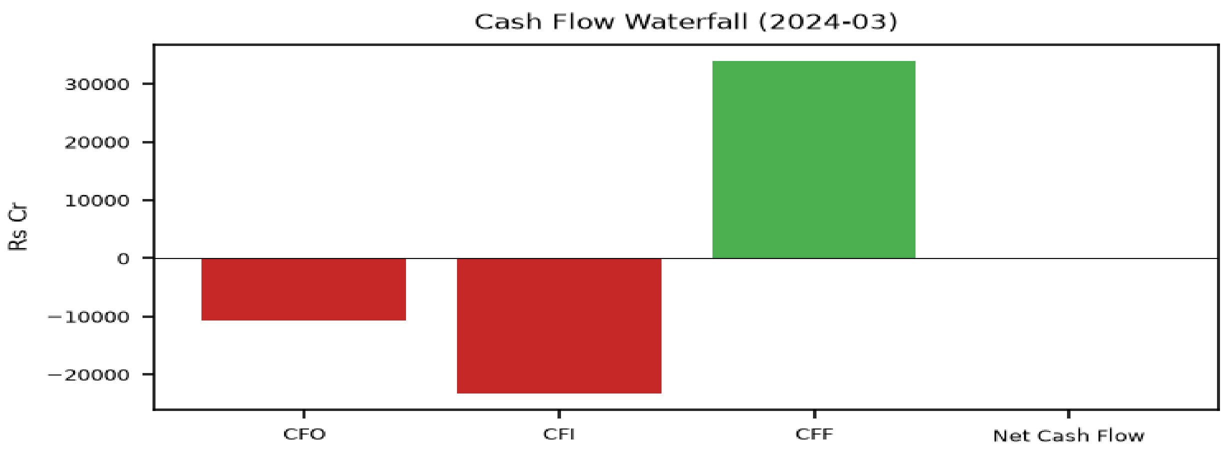
ROE	ROCE	D/E
11.2%	9.8%	1.55x

OPM	Revenue CAGR 5yr	Free Cash Flow
20.8%	11.2%	Rs -33,833 Cr









Pros

- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt